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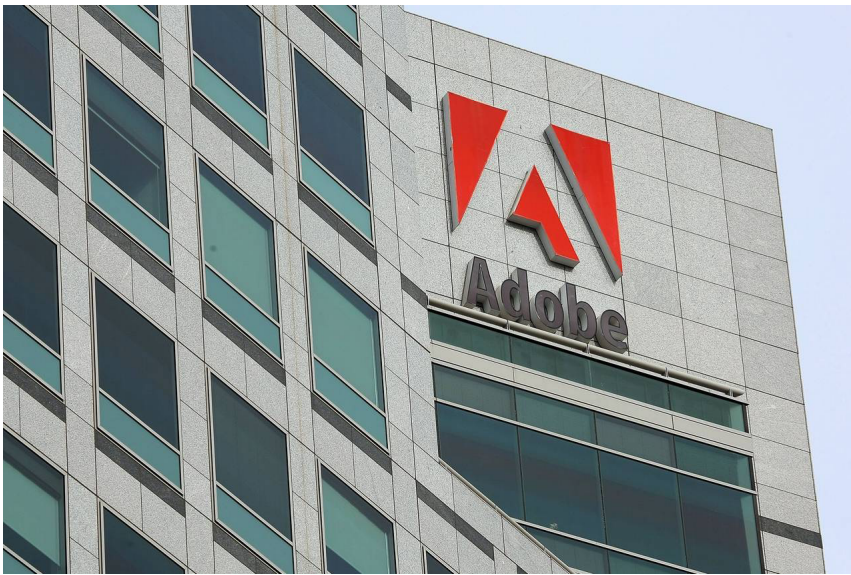
BUSINESS • EARNINGS

Adobe Results Boosted by Subscription Sales

Financial chief also says he expects record quarter in current period

By Ezequiel Minaya

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Adobe Systems headquarters in San Jose, Calif. in 2010. GETTY IMAGES

Adobe Systems Inc. **ADBE 0.82%** ▲ reported quarterly results at the top end of its forecast and above Wall Street expectations, propelled by a 41% jump in subscription revenue.

The California company, known for its flash player used to view web content and for its publishing software Photoshop, has benefited from growing demand for digital media. Over the past 12 months, shares in Adobe have gained 24%.

The company's stock climbed 3.2% in after-hours trading to \$104 as Chief Financial Officer Mark Garrett said in a statement that he expected "another record quarter" in

the current three-month period.

For the current quarter, Adobe expects revenue between \$1.55 billion and \$1.60 billion with adjusted earnings on a per-share basis in the range of 83 cents to 89 cents. Analysts surveyed by Thomson Reuters expect sales of \$1.57 billion and adjusted earnings of 78 cents.

For the latest quarter, Adobe posted earnings of \$270.8 million, up from \$174.5 million a year earlier. On a per-share basis, earnings rose to 54 cents from 34 cents.

Excluding certain items, earnings per share rose to 75 cents from 54 cents. Analysts had predicted 72 cents in adjusted earnings per share, while the company forecast a range between 69 cents and 75 cents.

Revenue rose 20% to \$1.46 billion. Analysts had expected \$1.45 billion while the company had predicted sales between \$1.42 billion and \$1.47 billion.

A 34% decline in product revenue slightly offset the surge in subscription revenue.

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Ezequiel Minaya is a former reporter for The Wall Street Journal. He is no longer with the Journal. A New York City native, Ezequiel worked at the Los Angeles Times; McClatchy newspapers in Fresno and Modesto; and The Press-Enterprise near Los Angeles. He also reported for the Houston Chronicle. He spent 13 months as an embedded war...

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